

Australia's farmers, hit by Iran war costs and dry weather, grow less wheat

Item 1 of 5 A drone view of Justin Everitt sowing wheat at his farm in Brocklesby, Australia, May 5, 2026. REUTERS/Hollie Adams

[1/5]A drone view of Justin Everitt sowing wheat at his farm in Brocklesby, Australia, May 5, 2026.

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- Summary

BROCKLESBY, Australia, May 19 (Reuters) - Justin Everitt is planting 50% less wheat this year than he thought he would.

Standing in muddy brown boots and jeans by his tractor and 11-metre-wide (36-foot-wide) seeding rig in a bare field, the 44-year-old said a lack of rainfall and rapid increases in fuel and fertiliser prices due to the war in Iran had ripped up his sowing plans.

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He is one of thousands of farmers across Australia deciding to plant less wheat and spread less fertiliser.

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Their choices – and the likelihood of a dry growing season for many - mean Australia, the third-largest wheat exporting nation, may have as much as 10 million tons less to ship in the upcoming season, an amount equivalent to 5% of annual global exports.

Everitt, whose family has farmed near Brocklesby, 300 km (185 miles) northeast of Melbourne, for six generations, said he had never before made such radical changes to his cropping plans.

"Every indicator is pointing towards lower production," he said.

A smaller harvest in Australia would reduce global wheat supply and put upward pressure on prices, which have already begun to rise.

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Australia is the first major grain exporter to plant wheat since the beginning of the Iran war, which throttled exports of fuel and fertiliser from Gulf nations. Other countries are also likely to [grow less](#), shrinking food supply further.

Reuters interviewed 18 farmers across Australia. In the driest areas, most were sharply scaling back planting. Nationwide, many were switching from wheat to crops like barley or canola that either need less fertiliser or sell for a higher price.

Forty kilometres west of Everitt's farm, near the town of Corowa, Anthony Black said he would sow 20% less wheat and use one-third less fertiliser than he planned. With dry conditions, he expects to harvest around 40% less wheat.

There isn't money in his budget to absorb a doubling in the price of urea, a key nitrogen fertiliser, he said. "It's just not there."

WHEAT SUPPLY PRESSURE

Six agricultural analysts said the amount of Australian land planted with wheat would fall by between 7% and 20% from last year, potentially removing the grain from an area nearly the size of Belgium.

The harvest, due towards year-end, could be between 16% and 41% smaller, the analysts estimated, shrinking from last year's roughly 36 million tons to as low as 21.3 million tons, if the most pessimistic estimate proves correct and dry conditions extend their grip.

The next major wheat exporters to sow crops are [Argentina](#), where the Rosario Grains Exchange said farmers facing high costs would plant 7% less wheat and harvest around 37% - or 11 million tons - less than last year, and Canada, where spring sowing is lagging its usual pace and analysts expect lower output.

The global wheat market will likely shift from surplus into deficit, drawing down stockpiles and pushing up prices, said an analyst at an international grain trading firm who did not have permission to speak publicly. Production of other crops will also fall, he said.

DRY OUTLOOK DETERS PLANTING

Cropping regions in much of New South Wales and Queensland have had very little rain, and many farmers who would usually sow into dry soil and wait for rainfall are not, because of a grim weather outlook and high costs.

Forecasters [predict](#) the formation of an El Nino, a weather phenomenon that typically heats and dries Australia's east coast.

Australia's Bureau of Meteorology expects below-median rainfall for most of the country's cropping zones between June and September.

Planting was just too risky, said one New South Wales grower who did not stock up on fuel or fertiliser before prices rose and had left their entire farm unsown.

Other regions are better off, however. Tim McClelland, who farms near Birchip in Victoria state, said good rainfall had given him the best start to a season he'd ever had.

He has bought all the fertiliser he'll need. "I feel a bit sick about the amount of money it cost," he said. "But positive about the season."

FERTILISER TROUBLE

Many others remain cautious. A farmer in the central wheat belt of Western Australia who asked for anonymity said he had sown his full programme but would cut fertiliser use by 10% and still expected to lose money unless crop prices rose.

Australia typically imports more than half its nitrogen fertilisers from the Middle East, but supply has been choked by the closure of the Strait of Hormuz.

The country still has 600,000 tons – roughly 20% - less urea than it uses in a typical year, said Hamish McIntyre, president of the National Farmers' Federation. Supply chain disruption also means fertiliser could often arrive later than farmers need it, reducing its effect, he said.

In Corowa, farm machinery salesman Joe Gorman said his phone had stopped ringing.

In his office beside a row of shining red tractors on the road out of town, he said the economic chill would spread.

"When the farmers feel the pinch, there's less blokes at the pub after work," he said.

"There's less blokes at the bakery on a Saturday. The supermarkets feel the pinch, the footy clubs feel the pinch. It's a flow-on effect."

As evening fell in Brocklesby, Everitt was sowing vetch and barley – fodder crops he won't harvest but will allow his sheep to eat – and using only a half-measure of fertiliser.

Such half-measures save money but are a short-term fix. Next year, Everitt and many others will have to over-fertilise to restore their soil – which will be difficult if prices remain high.

The 2027 season scares him, he said. "We'll be drawing down on a lot of soil nutrients this year and we'll have to put them back in next year. If we can't do that, I dare say next year there could be a lot of crop not go in."